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Yili Industrial | Asia Pacific

1H26 On Track; Raw Milk Supply-Demand Improving

Key Takeaways

- We hosted an investor group call with the company. 1H26 performance was in line with guidance, and management maintained its 2026 MSD revenue growth target.
- Liquid milk was flat yoy in 2Q26 due to seasonality, which was in line with management's plan. Channel inventory remains healthy.
- Management expects raw milk price to remain broadly stable YoY in 2026, with a modest recovery in 2H26. Promotional pressure should also ease as costs rise.
- Potential tax changes remain under review and may affect certain previously tax-preferential categories. Management expects no material impact on core profit.
- Capital allocation: The company reiterated a dividend payout of no less than 75% during 2025-27.

Updates by segment:

- **UHT milk:** Positive growth yoy in 1H26, with Satine outperforming basic UHT milk. Growth was volume-led with stable pricing. Milk beverages stayed solid and yogurt decline narrowed.
- **Fresh milk:** Strong growth continued in 1H26, though still loss-making. Yili aims to lead long term through its brand portfolio, cold-chain and broader channels. Price competition should ease as raw milk prices recover.
- **Milk powder and others:** IMF is on track for MSD-HSD sales growth and 1-2ppt market share gains. Adult nutrition grew double digits %, supported by gifting and functional products. Ice cream and cheese maintained solid growth in 1H26.
- **Raw milk:** Supply and demand are nearing balance. Better upstream profitability and lower promotions should benefit leading players with stronger supply-chain and cost control.
- **Overseas:** DD growth and margin improvement continued in 1H26, including its dairy ingredients business in New Zealand, ice-cream and milk beverages in Southeast Asia market, and Ausnutria overseas business.

MORGAN STANLEY ASIA LIMITED+

Lillian Lou

Equity Analyst

Lillian.Lou@morganstanley.com

+852 2848-6502



Yili Industrial (600887.SS, 600887.CG)

China/Hong Kong Consumer | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb33.00
Up/downside to price target (%)	31
Shr price, close (Jul 14, 2026)	Rmb25.28
52-Week Range	Rmb29.78-23.76
Sh out, dil, curr (mn)	6,129
Mkt cap, curr (mn)	Rmb154,935
EV, curr (mn)	Rmb189,847
Avg daily trading value (mn)	Rmb1,442

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.83	1.95	2.11	2.32
EPS (Rmb)\$	1.74	1.94	2.10	2.28
Revenue, net (Rmb mn)	114,545	120,192	126,514	133,894
EBITDA (Rmb mn)	16,467	17,453	18,801	20,307
ModelWare net inc (Rmb mn)	11,520	12,321	13,366	14,667
P/E	15.7	13.0	12.0	10.9
P/BV	3.3	2.8	2.7	2.5
RNOA (%)	11.3	11.1	12.2	13.7
ROE (%)	21.7	22.5	23.4	24.5
EV/EBITDA	13.1	10.7	9.7	8.7
Div yld (%)	5.9	6.2	6.7	7.3
FCF yld ratio (%)**	2.0	7.5	9.3	10.3
Leverage (EOP) (%)	56.8	49.5	39.1	28.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

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[China – Infant Milk Formula: Feedback from expert call \(20 May 2026\)](#)
[China/Hong Kong Consumer: China Broader Consumption Trip – Key Takeaways \(17 May 2026\)](#)

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Valuation Methodology and Risks

Yili Industrial (600887.SS)

Base case, discounted cash flow methodology. Key assumptions: 12% WACC and 2% terminal growth.

Risks to Upside

- Faster-than-expected demand recovery.
- Better margin expansion from more rational investment in marketing and promotion as raw milk oversupply reduces.

Risks to Downside

- Slower dairy demand growth.
- Raw milk oversupply lasts longer than expected, causing continued investment in promotion..

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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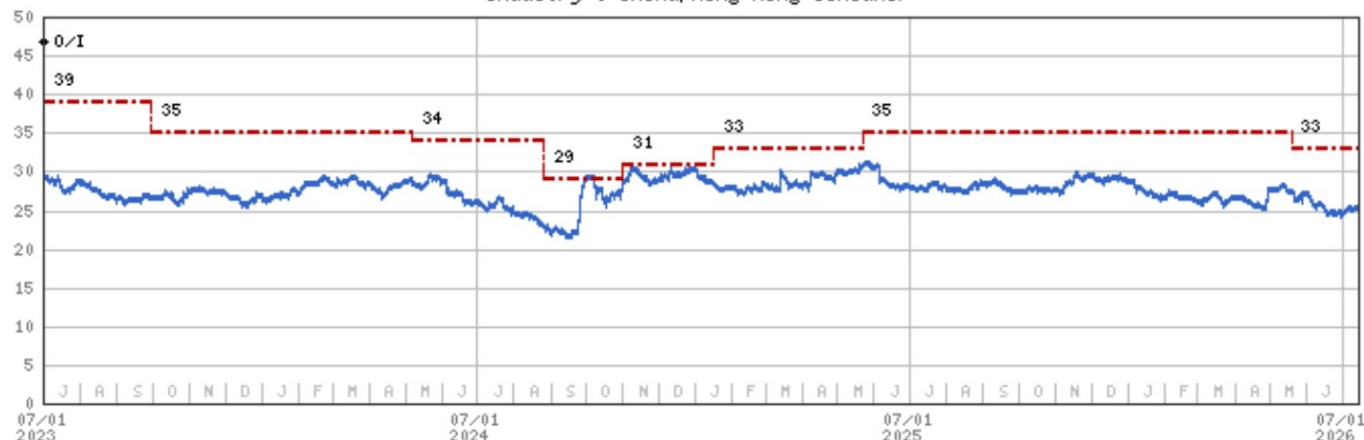
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Stock Price, Price Target and Rating History (See Rating Definitions)

Yili Industrial (600887.SS) - As of 07/14/26 GMT in CNY
Industry : China/Hong Kong Consumer



Stock Rating History: 7/1/21 : 0/I

Price Target History: 2/11/21 : 52; 5/30/22 : 51; 7/27/22 : 48; 10/31/22 : 42; 3/4/23 : 39; 9/29/23 : 35; 5/7/24 : 34; 8/26/24 : 29; 10/31/24 : 31; 1/17/25 : 33; 5/22/25 : 35; 5/19/26 : 33

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$73.90
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.76
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.13
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.30
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$26.90
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$14.02
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$23.16
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.90
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$51.70
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$155.00
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb57.38
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.48
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.72
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.07
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.81
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.18
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.10
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb37.46
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb99.70
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$47.94
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb50.92
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.79
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.13
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb50.54
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb34.56

Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$30.48
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.15
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.15
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$373.80
Super Hi (HDL.O)	E (01/14/2025)	US\$12.33
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb42.95
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb80.48
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.35
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.68
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.25
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$22.94
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb42.15
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb119.18
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$106.00
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb39.18
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.33
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$20.36
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,214.88
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb77.65
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$89.55
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb81.18
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$31.88
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb38.08
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$41.44
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb110.50
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb23.48
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.26
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$43.70
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb53.83
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.50
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.33
WH Group (0288.HK)	O (02/24/2025)	HK\$8.11
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb73.40
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb38.08
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.36
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb25.28
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$43.90
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.59
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$18.87
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.99
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb36.89
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb28.50
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb30.38
Shenzhen International Group Holdings (2313.HK)	O (07/13/2017)	HK\$42.86
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$12.66
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$125.50
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$12.91

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* Historical prices are not split adjusted.